

Ponsse Plc

Ponsse Plc is a Finnish manufacturer of forest machines and related services, founded in 1970 and headquartered in Vieremä, Finland, where its main production facility is located. The company employs approximately 2,000 people.

This analysis examines Ponsse's financial performance over 2021–2025, focusing on revenue development, operating profitability, cash generation, working capital and financial leverage. Continuing-operations figures are used where available to improve comparability following the discontinuation and sale of the Russian operations.

Key Findings

Revenue grew strongly through 2023, reaching €821.8 million, but this growth did not translate proportionally into operating profitability. EBIT margin declined from 8.2% in 2021 to 5.7% in 2023. Ponsse attributed weaker profitability partly to the loss of the Russian market and challenges in Brazil.

In 2024, revenue and EBIT margin weakened, but operating cash flow improved sharply as inventories and receivables released working capital. The situation reversed partly in 2025: EBIT margin recovered to 5.6%, helped by a much smaller negative impact from the Brazilian Full Service agreement, while operating cash flow declined as inventories and receivables increased.

Working-capital movements were also closely linked to Ponsse's financing position. The company moved from a net cash position in 2021 to €45.5 million of net debt in 2023, reduced this substantially in 2024, and ended 2025 with €20.5 million of net debt.

Limitations

Comparability across the period is affected by the discontinuation of Ponsse's Russian operations. Revenue and EBIT have been analysed using continuing-operations figures where available, while some historical cash-flow and balance-sheet figures cover a different reporting scope. Ponsse also subsequently corrected its 2022 equity figure. Free cash flow in this analysis is a simplified analytical measure calculated as operating cash flow less capital expenditure and is not a company-reported KPI.

Conclusion

Overall, Ponsse's recent performance shows some recovery in profitability, but cash generation remains sensitive to working-capital movements and demand conditions. The main developments to monitor are whether EBIT margin continues to recover as the Brazilian Full Service agreement winds down in 2026, whether inventories and receivables can be managed more effectively, and whether improving market conditions translate into renewed revenue and order-book growth.